EXECUTIVE SUMMARY

1. Introduction

The township of Aparri, Cagayan is a busting first class municipality located at the northernmost tip of Luzon Island 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River diving it into two geographic areas – Aparri East and Aparri West. The municipality is composed of 42 barangays sprawled within its 27,600.88 hectare land area with a population of 65,649 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays including the island of barangay Fuga.

Farming and fishing are the people's main source of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of education institutions of higher learning, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

In the passing times, Aparri has evolved from its lowly status to its current highly esteemed standing as the premiere municipality in Northern Cagayan. The institution of responsive and committed local leadership had merited numerous local and national awards and commendations for the municipality and its people in the realm of local governance of Aparri was empowered by the Civil Service Commission through its Local Chief Executive – Mayor Shalimar D. Tumaru, M.D. to take final action on the appointments of LGU Aparri personnel.

The municipal government was not only concerned of the material welfare and benefits of the people. It earnestly endeavored for the social and cultural transformation of the populace by adopting character traits for each month of the year – virtues which every Aparriano ought to internalize and exhibit in life. These are: discipline, loyalty, gratefulness, forgiveness, hospitality, determination, cleanliness, patience, responsibility, faith, resourcefulness and benevolence. This scheme had evolved Aparri into a TOWN OF CHARACTER.

Indeed the once obscure town from the North known only because of the popularity of the mapping phrase "from Aparri to Jolo" has gained national fame and

prominence. This was made possible because of the unselfish support and cooperation of Aparrianos themselves to their duly constituted local authorities.

The audit covered the accounts and operations of the Municipality of Aparri for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Aparri, Cagayan for the year ended December 31, 2018, with comparative figures for calendar year 2017 are as follows:

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	729,833,072.4s9	603,373,979.74	126,459,092.75	20.96%
Liabilities	116,469,905.97	98,002,838.03	18,467,067.94	18.84%
Govt. Equity	613,363,166.52	505,371,141.71	107,992,024.81	21.37%
Financial Performance				
Income	212,493,958.32	197,712,108.15	14,781,850.17	7.48%
Expense	134,516,980.32	114,244,926.65	20,272,053.67	17.74%
Appropriations, Allotments and Obligation				
Appropriations	305,075,693.38	244,684,890.00	60,390,803.38	24.68%
Allotments	393,575,693.38	244,684,890.00	148,890,803.38	60.85%
Obligations	190,867,639.04	107,825,766.37	83,041,872.67	77.01%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Aparri, Cagayan as at December 31, 2018 due to the non-compliance of the Municipality with the proper accounting and reporting guidelines of local road networks as prescribed under COA Circular No. 2015-008 dated November 23, 2015 thus, casts doubt on the fair presentation of the "Road Network" account in the financial statements amounting P120,762,187.61 as at December 31, 2018.

4. Summary of Significant Audit Observations and Recommendations

Below is the recommendation on the above-stated basis for qualified opinion:

We recommended that the Management enjoin the concerned departments to strictly comply with the provisions of COA Circular No. 2015-008 dated November 23, 2015 to provide reasonable assurance on the fair presentation of the value of the Road Networks account in the financial statements of the Municipality.

The other significant audit observations and recommendations are the following:

1. Out of the 42 priority development projects under the 20% Development Fund of the Municipality for the calendar year 2018, 6 projects aggregating to P7M and 6 projects with continuing appropriations totaling P4.481M were not implemented as at year-end contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes was not attained and timely benefits therefrom were not received by the intended beneficiaries.

   We recommended that the Management fast-track the implementation of the current year and continuing development projects in order to avoid accumulation of unimplemented projects and to ensure the optimal utilization of the 20% development fund in the ensuing year pursuant to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017 for the benefit of the constituents of the Municipality.

2. LDRMM funds totaling P32,841,592.72 from current and previous years appropriations were unutilized as at year-end thus the objectives for the projects and activities towards disaster mitigation were not fully attained contrary to Section 21 of Republic Act No. 10121, thereby deprived the constituents of disaster preparedness and mitigation benefits.

   We recommended that Management through the LDRMM Council identify the priority programs for disaster mitigation and preparedness of the Municipality to utilize the prior year's LDRRM fund and fast track the implementation of the programs, projects and activities (PPAs) included in the 2018 LDRRMFIP of the Municipality to fully achieve the objectives of the fund pursuant to Section 21 of the Republic Act No. 10121 to deliver much needed programs and services to the constituents of the Municipality.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Years	-	2,073,533.61	2,073,533.61	-	100%
Total	-	2,073,533.61	2,073,533.61	-	100%
Disallowances					
Prior Years	155,330.22	-	47,250.00	108,080.22	30%
Current Years	-	-	-	-	-
Total	155,330.22	-	47,250.00	108,080.22	30%
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

The ending balance of the disallowances was also settled by Management during the first quarter of 2019 leaving the total suspensions, disallowances and charges zero.

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the eleven (11) audit recommendations of prior year's report, seven (7) were fully implemented, two (2) were partially implemented and the remaining one (2) were not implemented as at year-end.